



Karnataka Export Chronicle

QUARTERLY NEWSLETTER ▶

OCTOBER TO DECEMBER 2024

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Perspective



B.K. Shivakumar
Director (Exports) &
Managing Director

A comparison of the export performance during the April to September period of 2024-25 vis-à-vis a similar period of the previous year suggests that overall exports have registered 11.17% growth. During a similar period, Merchandise Exports and Services exports have been buoyant as well, indicating an increase of 11.34% and 11.13% respectively. Positive trend in exports have been recorded in the case of Coffee, Spices, Wool & Woollen Products, Plastic Goods, Engineering, Petroleum, Optical and Medical Instrument, Silk product, Pharmaceuticals, Aerospace and Organic Chemical products. What is also heartening is the fact that a total of 10 districts in the state have posted remarkable growth in exports during the period.

VTPC kept up its momentum towards providing impetus to industry and artisans of the State. On behalf of the Department of Industries & Commerce, Govt. of Karnataka, VTPC set up its Karnataka Pavilion at the 12th Edition of the International Engineering Sourcing Show (IESS), facilitating stakeholders representing the engineering sector from the State. Besides, aligning with the theme of Viksit Bharat: India@2047, VTPC set up its Karnataka Pavilion at the India International

Trade Fair (IITF) at Pragati Maidan New Delhi, facilitating producers and artisans across various verticals, besides GI tagged and other heritage products that the state is known for. The Karnataka Pavilion was also the recipient of 'Bronze Medal' at IITF 2024.

In the current quarter of 'Karnataka Export Chronicle' we present 'Netherlands' as the *Focus Country* and 'Smart Phones' as the *Focus Product* for analysis. Acquaint yourselves with the uniqueness behind the famed GI tagged Kolhapuri Chappals in our GI Spotlight Section, besides a promising manufacturer of the product.

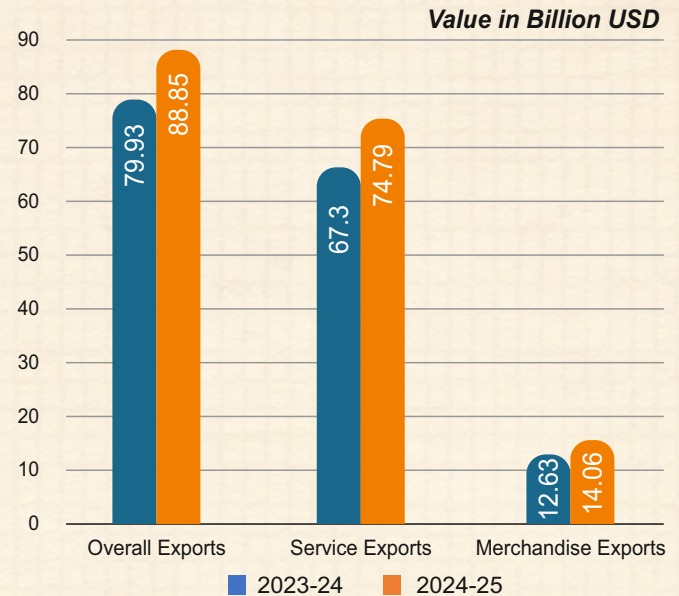
As we have ushered into yet another year, here's hoping that in collaboration we work with renewed zeal and commitment to add more value and clock new milestones for our State. Do stay tuned with all that is happening in the exciting world of exports through your very own platform 'Karnataka Export Chronicle'. Write in, share your feedback and thoughts and stay connected to enable a fruitful dialogue towards the larger goal of excelling in the international trade landscape. On that note, a very happy, radiant and promising 2025 to all our readers!

1 Karnataka's Export Performance

2024-25 (April to Sept) as compared to 2023-24 (April to Sept)

- Service Exports have shown a 11.13% rise over the period in comparison.
- Karnataka's Merchandise Exports have shown a positive trend with an increase of 11.34% during 2024-25 (April to Sept) period, over a similar period of the previous year.
- Overall exports have registered 11.17% growth during 2024-25 (April – Sept) over a similar period of the previous year.
- Coffee, Spices, Wool & Woollen Products, Plastic Goods, Engineering, Petroleum, Optical and Medical Instrument, Silk product, Pharmaceuticals, Aerospace and Organic Chemical products have shown positive trend in exports.
- There is a reduction in exports of Leather products, Marine Products, Agriculture and Processed Food, Semiconductor and Iron Ore & Minerals.
- Out of 30 districts in the State, export performance during April to September 2024-25, by 6 districts in the state namely; Bengaluru Urban, Chamaraajanagar, Mysuru, Tumakuru, Mandya and Chikkamagalur districts are more or less aligned with similar performance during April to September 2023-24.
- 10 districts namely Kolar, Kodagu, Chikkaballapura, Hassan, Bengaluru Rural, Dharwad, Shivamogga, Bidar, Dakshina Kannada and Ramanagara districts have increased their exports substantially.

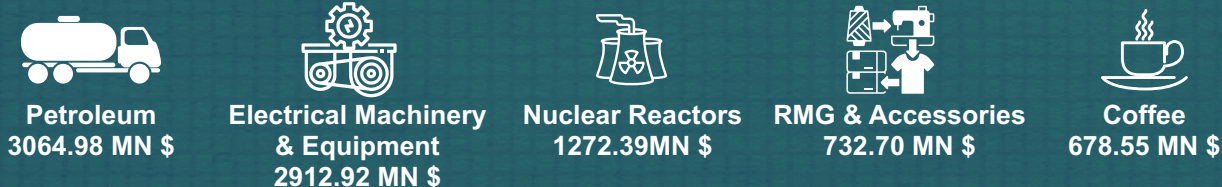
- 14 districts namely Vijayapura, Koppal, Chitradurga, Uttara Kannada, Yadgiri, Bagalkote, Gadag, Kalaburagi, Ballari, Udupi, Raichur, Haveri, Davanagere and Belagavi districts recorded decline in exports.



TOP EXPORT MARKETS 1st & 2nd Qtr 2024-25



TOP EXPORTED COMMODITIES 1st & 2nd Qtr 2024-25



2 Exim Notifications

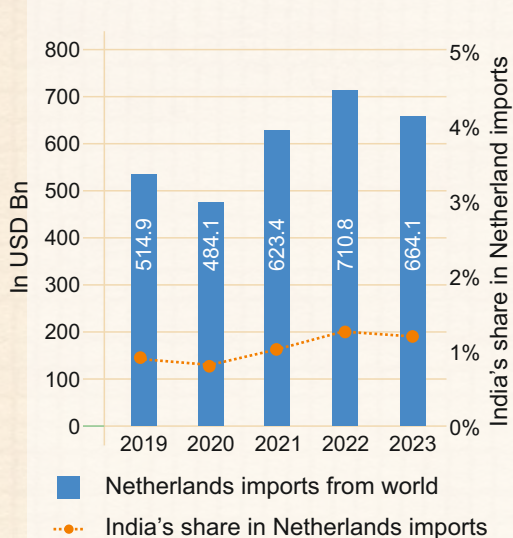
3rd Quarter (2024-25)

- Imposition of Minimum Export Price (MEP) on Export of Honey – vide Notification No.45/2024-25 dated 30.12.2024.
- Standard Operating Procedure (SOP) for Export Authorisations for Restricted Seeds and Planting Materials – vide Notification No.26/2024-25 dated 30.12.2024.
- Amendment in Export Policy of Non-Basmati Rice under HS code 1006 30 90 -reg vide notification 37/2024-25 dated 23/10/2024

3 Focus Country: Netherlands

Netherlands imports are valued at an **average of USD 666.1 Bn (2021-23*)** ranking **8th largest importer in the world** witnessing growth of 5.22% over the last 5 years. Further, India's imports from Netherlands is estimated at **USD 6.6 Bn comprising 1.0% of total imports as of 2023.**

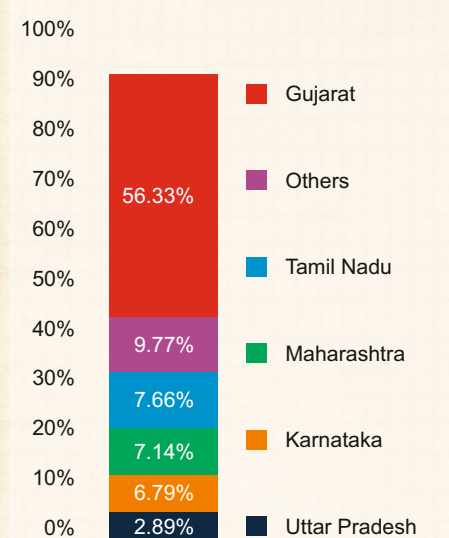
1 Netherlands's Total Imports* from World & India's share in Netherlands Imports



2 Top Sectors contribute to 66% of India's exports to Netherlands (2023*)

HS Code	Product	% Share
27	Minerals Fuels & Oil	16.70%
85	Electrical Machinery	12.86%
29	Organic Chemicals	7.95%
30	Pharmaceutical Product	6.19%
84	Machinery & Equipment	5.30%
76	Aluminium & articles	4.65%
62	Apparel, not knitted	3.56%
73	Iron & Steel articles	3.38%
88	Aerospace & parts	2.73%
61	Apparel, knitted	2.66%

3 Top States contribute to 90% of merchandise exports from India to Netherlands (FY 2023-24)



Major Imports by Netherlands - Worldwide 2023*

HS Code	Product	Netherlands Total Imports	% Share
27	Mineral Fuels & Oils	143,942.8	21.6%
85	Electrical System Design Manufacturing Products	73,583.1	11.08%
84	Machinery & Equipment	71,992.1	10.84%
90	Optical, Medical & Surgical Instruments	36,926.3	5.56%
87	Automobiles	35,592.1	5.36%
30	Pharmaceuticals	28,868.9	4.35%

Karnataka Exports to Netherlands 2023*

HS Code	Product	Karnataka Exports	Netherlands Total Imports
27	Mineral Fuels & Oils	679.8	143,942.8
85	Electrical System Design Manufacturing Products	279.4	73,583.1
62	Apparel, Not Knitted	85.5	8,219.4
30	Pharmaceuticals	78.5	28,868.9
61	Apparel, Knitted	58.8	8,036.2
84	Machinery & Equipment	51.0	71,992.2

(Value in Mn USD)

Focus Products for Exports to Netherlands

- Trade Trends:** India's exports to Netherlands has witnessed a significant growth of ~5.0% over the last 5 years & Karnataka is the 4th Largest State exporting to Netherlands estimated at USD 1,519 Mn as of FY 2023
- Key Products:** Prominent products exported from Karnataka to Netherlands accounting for 89.5% comprise of mineral fuels & oils, Electrical System Design manufacturing products, Textiles, & Apparels, Pharmaceuticals and Machinery & Equipment. Further, mineral oils export accounts for a whopping ~51% of the overall exports
- Potential sectors witnessing high growth:** Products with latent export opportunities growth include Electrical System Design Manufacturing Products, HS85 ~1339%, Pharmaceuticals ~1338%, Aluminium & articles HS76 ~1030%, Machinery & Equipment HS84 ~1030% and Aerospace & Parts FC 88 ~1021% (CAGR 5 years)

*Calendar Year

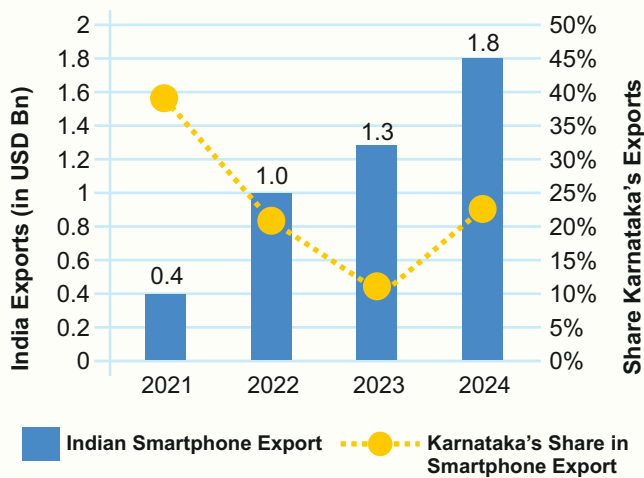


4 Focus Product for Export: Smartphone (HS 8517)

India accounts ~2% of global smartphone exports estimated at an average of USD 1, 101.03 Mn (2021-23*) with some of the top importers contributing to 50% smartphone imports include USA, Hong Kong, UAE, Germany, Japan, Netherlands, and UK estimated at an average of USD 317.22 Bn from 2021-23*.

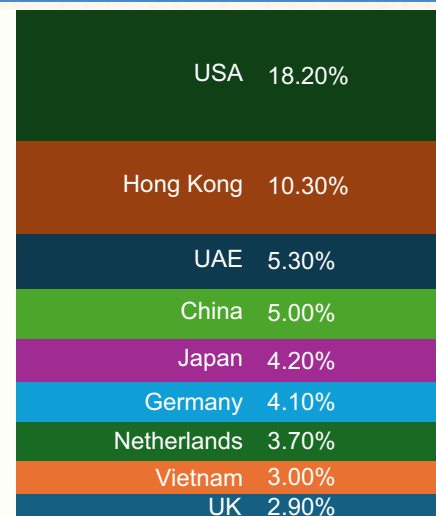
1 Karnataka's contribution in India's Smartphone Exports'

Global Imports	2020	2021	2022	2023
	587.9	676.8	645.4	638.7



2 Top Importers of Smartphone across the World*

Average Imports
USD 653.68 Bn (FY2021-23*)

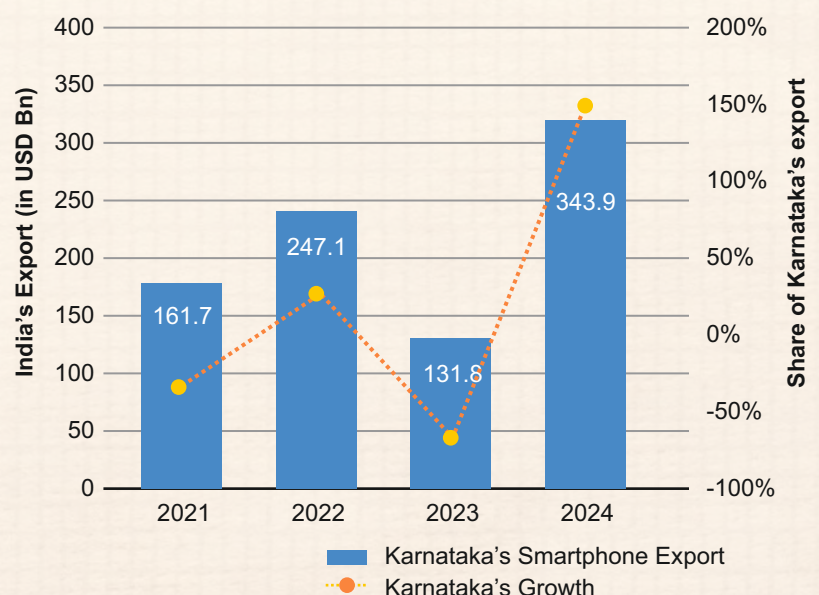


In India, Karnataka is one of the biggest smartphone component manufacturers comprising approximately 19% of overall exports in 2024. Further, Karnataka stands at 2nd position in India in exports of smartphone from Karnataka and it is estimated at USD 343.9 Mn for 2024.

3 Key smartphone exports from Karnataka - Top Trade Partners and Sub Products at 8 Digit Level

- Smartphone exports from Karnataka have witnessed a **significant growth of 113%** from USD 161 Mn in 2021 to USD 343.9 Mn in 2024.
- Key trade partners accounting for ~75% of overall exports include **USA (31.46%), UAE (10.48%), Mexico (8.83%), Netherlands (7.70%), Italy (6.97%) and Czech Republic (6.93%)** in 2023.
- Among top importers of smartphone top 3 markets with highest growth of smartphone exports in 2023 include **USA (79%), Hong Kong (27%) & UAE (65%)**
- Prominent export in Chapter 85 is HS Code 8517 contributing to **99% of export includes smartphones from Karnataka.**

Karnataka's smartphone exports and its growth*



5 Key Initiatives/Meetings in Export Promotion

MD VTPC represents Karnataka at key forums



MD VTPC with his team, representatives from the Geographical Indications (GI) Registry, Chennai, Govt. of India, Department of Handlooms & Textiles-GoK and artisans represented at the Consultative Examination of a prospective GI from Karnataka – Patteda Anchu Sarees & Fabrics, 25th Oct'24, GI Registry office, Chennai



MD VTPC addressed exporters as Chief Guest at the Export Haat event, organised by Amazon Global Selling, 26th Nov'24, Chancery Pavilion, Bengaluru



EMTP Follow up Meet with participants, 9th Nov'24 held in association with Karnataka Chamber of Commerce & Industry (KCCI), Hubballi



MD VTPC led the Exporters Interaction for Viksit Bharat@2047, organised by VTPC to garner inputs for the upcoming Export Strategy, 12th Nov'24, VTPC Board Room, VTPC, Bengaluru



MD VTPC was the Chief Guest at the Buyer Seller Agri Conclave on Agriculture and Processed Food, 8th Nov'24, organised by KAPPEC, Veterinary College, Bengaluru



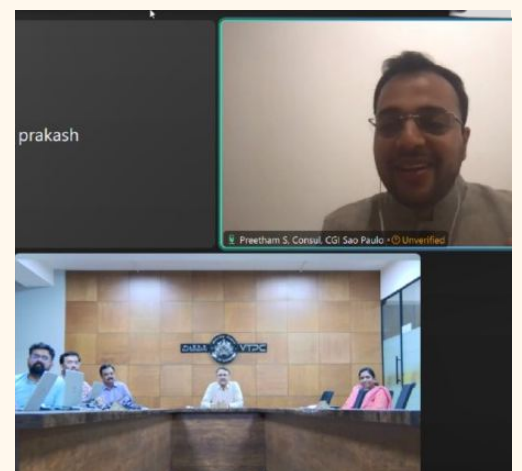
VTPC represented as Jury Member on the Selection Committee for the Ubuntu Star Awards, organised by Ubuntu Consortium of Women Entrepreneurs, 19th Nov'24, Taj Vivanta, Bengaluru



Shri.Shambhu Hakki, Consul General, Consulate General of India, Guangzhou visited export units in the garment sector in Haveri, Gadag and Dharwad districts (Shahi Exports and Bankar Textiles), 12th Dec'24, organised by VTPC Dharwad in association with DICs.

Other Key Meetings

- **7th Nov'24:** EODB Consultation Meeting on implementation of Additional Reforms under BRAP 2024, Conference Room, Karnataka Udyog Mitra, Khanija Bhavan, Bengaluru
- **18th Nov'24:** Virtual Meeting of GI Nodal Officers under Additional Secretary, DPIIT, New Delhi
- **17th Dec'24:** Embassy Connect: Virtual Meeting with Indian Mission in Brazil for export promotion



6 Exhibitions & Fairs

International Engineering Sourcing Show (IESS) XII, 2024



The 12th Edition of the International Engineering Sourcing Show (IESS) was held between 27th to 29th Nov'24 at Chennai Trade Centre. VTPC, on behalf of the Department of Industries & Commerce, set up the Karnataka Pavilion, facilitating a total of 20 stalls representing the engineering sector from the State.

India International Trade Fair (IITF) 2024



Viksit Bharat: India@2047, was the theme of IITF 2024, held between 14th to 27th Nov'24, at Pragati Maidan, New Delhi. VTPC on behalf of Govt of Karnataka set up its Karnataka Pavilion over a sprawling expanse to provide impetus to the artisans of our State across an array of sectors. Shri T.B Jayachandra, Special Representative, Govt. of Karnataka, Delhi, inaugurated IITF 2024 amidst a jubilant audience resonating the flavours of Karnataka! He was joined by Ms. Akruthi Bansal, IAS, Additional Resident Commissioner, Karnataka Bhavan, Delhi and MD VTPC and his team. Karnataka Pavilion was the recipient of a Bronze Medal at IITF 2024.

India International Trade Fair (IITF) 2024



7 Capacity Building Programs (Exports)

Export Management Training Programs (EMTP)



125th EMTP, 25 to 30th Nov'24, Bengaluru



126th EMTP – 2nd to 7th Dec'24, Mysuru

Export Awareness Programs (EAP)



EDP, 30th Sept'24, AWAKE, Bengaluru



EAP, 29th Oct'24, Mysuru



EAP, 30th Oct'24, Mandya



EAP, 5th Nov'24, Yadgir

Export Awareness Programs (EAP)



EAP, 10th Dec'24, Vijayapura



EAP, 13th Dec'24, Ramanagara



20th Dec'24 EDP Awake, Bengaluru



EAP, 21st Dec'24, Kolar



EAP, 23rd Dec'24, Kalaburagi



EAP, 24th Dec'24, Bidar

Exporter Echoes

With utmost gratitude I am happy to inform that our brand 'CROYDONuk' the men's apparel brand has entered the Japan market. It wouldn't have been possible without your timely guidance and the training provided by VTTC. I achieved the knowledge to export in the right way. As an emerging men's fashion brand the marketing support given by VTTC for the trade show also helped me to showcase our Brand and infrastructure globally. Once again I thank from the bottom of my heart.

- Ijaz Marzook, Croydon Fashions Pvt Ltd.

8 Capacity Building Programs (IPR)



Sensitisation Workshop on "Innovation Management and Intellectual Property Rights", 30th Oct'24, in association with NMKRV College for Women, Bengaluru



Workshop on "Driving business, Innovation and IP through Internet-of-things (IOT)", 20th Nov'24, in association with Government First Grade College, Bengaluru



Sensitisation program on "Basics of Intellectual Property Rights and Its significance in Entrepreneurship", 20th Nov'24, in association with Oxford College of Engineering, Bengaluru



Sensitisation program on "Basics of Intellectual Property Rights and Its Importance for Innovators and Entrepreneurs," 21st Nov'24, in association with International Institute of Business Studies (IIBS), Bengaluru



5 Day Faculty Development Program on "Innovation and Design Thinking for Enhancing Excellence", 27th Nov'24, in association with AIMS Institutes, Bengaluru and Kirtloskar Institute of Management, Harihar, at Bengaluru



Hands on Workshop on "Patent Search and Patent Drafting" in collaboration with P.E.S University, Bengaluru



Sensitisation Workshop on “Basics of IPR for Entrepreneurs and Innovators”, 28th Nov’24, in collaboration with Sir MVIT, Bengaluru



Significance of Intellectual Property Tools, with thrust to Trade Marks, Industrial Designs and Geographical Indications for Legal fraternity, 6th Dec’24, in association with B.V. Bellad Law College, Belagavi



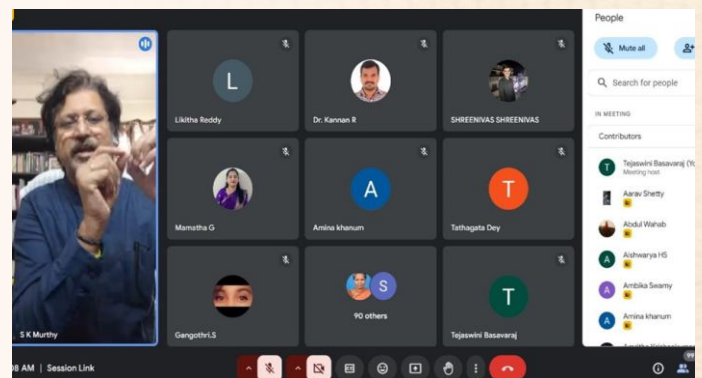
2 Days Workshop on Intellectual Property Rights, 6th & 7th Dec’24 in association with Padmashree Institute of Management and Sciences, Bengaluru



Workshop on “Unboxing Innovation through Problem Solving and Ideation”, 9th Dec’24, in collaboration with Vivekananda Institute of Technology, Bengaluru



Workshop on “Entrepreneurship and Innovation” as a Career Opportunity, 10th Dec’24, in association with East Point College, Bengaluru



Workshop on “Basics of Intellectual Property Rights and its importance for innovators and entrepreneurs”, 11th Dec’24, in collaboration with East Point College, Bengaluru

9 GI Spotlight: Kolhapuri Chappals

Falling under Class 25 (Footwear) of the handicrafts classification, Kolhapuri Chappal was granted the GI tag in 2018 shared by both Karnataka and Maharashtra. The genesis of the Kolhapuri Chappal finds traces during the 12th century rule of King Bijjal of Bidar district and his Prime Minister Viswaguru Basavanna (Basaveswara) who worked towards his vision of creating a casteless society and eradicating the stigma associated with the chamar community. The geographical spread of production of the Kolhapuri Chappal in Karnataka spans Dharwad, Belagavi, Bagalkot and Vijayapura districts.

An ethnic craft, it is famed for its centuries old manual/hand made skills using traditional techniques and tools and their aesthetically pleasing appeal. All parts of the Kolhapuri chappal—sole, uppers and heel are made from bag and vegetable tanned leather. Stitching of outer sole, inner sole and upper and heel with leather thread is taken from bag tanned leather. What is also unique is the decorative woven pattern fixed over upper bands of these Chappals. Sisal fibre

for stitching, hand tools for other processes and eco friendly processing and production methods are used. Babulbark and myrobalan fruits are also used in the making of the chappal. The unique footwear has gained acceptance for its resistance to abrasion and water absorption and are ideal for rugged use by farmers and a fashion footwear for urbanites and the elite. The sturdy and long durability of the chappal is yet another unique selling proposition.



10 GI Artisan Corner



Meet Mr. Vishwanath Maruti Bhandare, a Kolhapuri Chappal manufacturer/Authorised User with more than 60 years of family business in the GI craft. His journey began at the age of around 8-10 years, when he would keenly observe his family members partake in the process of production of the unique

footwear and he would also assist in a small way. Having completed his PUC in Madhbhavi region, he took a plunge in the family business with the commitment to grow the business, expand markets and provide quality products to the customers. Despite a strong family business background, the journey was not rosy and Bhandare encountered his share of challenges. Coming from a middle class family, working towards a business that would thrive required robust finances. Difficulty in gaining easy access to loans, saddled by high interest rates, besides the high cost of leather were some key limitations in the journey. Yet the zeal to propel the family business and add value to the space was immense and hence besides the local markets in the state across Kalaburgi, Afzalpur, Bidar and more, he spread his tentacles to markets in Mumbai, Pune, Kolhapur, Hyderabad, Ahmedabad, UP, MP and Goa where his wares got acceptance with the elite. Competition, he quips is as always rampant, however what distinguishes his products are the innovative designs, in particular the chappal uppers/belt which are laced with contemporary designs besides the typical traditional look and feel chappals. Quality is of utmost importance and he ensures



that they churn products without damages. He opines that awareness regarding the GI tag is very poor amongst both the artisans and the customers and hence he believes that sensitisation and awareness regarding leveraging the GI tag should be popularised. In prospect, Bhandare plans to set up a new tanning factory with necessary machinery with support through Government schemes. He also plans to expand his business to target export markets as well in the coming days. *Karnataka Export Chronicle* wishes him good luck in his future export endeavours.



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